trillion and requiring European banks to achieve 9 per cent capitalization. The date for this package was brought forward to July 2012. To restore confidence in Europe, EU leaders also agreed to a fiscal compact with a commitment that participating countries would introduce a balanced budget amendment. In December 2011, the European Central Bank (ECB) took the step of offering a three-year long-term refinancing operation (LTRO) at highly favourable rates to alleviate funding stress which helped bring down the yields somewhat during January and February 2012. But overall uncertainty about the effectiveness of all these measures and how further resources would be raised, their adequacy, and doubts about sovereign debt levels coming down remain there. Due to low-growth scenario, the ability of Greece and other economies to undertake further fiscal austerity remains a big matter of concern for the world.

Eurozone and India: Though distinct from the European Union (EU), the Eurozone is its major subset. The eurozone and EU account for about **19** and **25** percent of global GDP, respectively. The EU is a major trade partner for India accounting for about **20** per cent of India's exports and is an important source of foreign direct investment (FDI). The IMF has forecast that the eurozone is likely to go through a *mild recession in 2012*. A slowdown in the eurozone is likely to impact the EU and the world economy as well as India.

The sluggish revival of global growth in 2011 came on top of disruptions in supply-chain networks resulting from the devastating earthquake and *tsunami in Japan* (in March 2011). Later in the year (October and November), severe *flooding in Thailand* also disrupted some supply chains. Political uncertainties in some Middle East and North African countries have been another source of uncertainty apart from their obvious *implications for oil prices.* The severe uncertainty in the eurozone impacted the global financial markets leading to capital reversals to safe havens in December 2011. Global economy, at this juncture, in the short run, is being threatened by multiple shocks emanating from various sources, economic, social, and geopolitical. The lower global growth forecast by the IMF for most countries in 2012 *perhaps* reflects the repeated cycles of uncertainty arising from these diverse sets of factors.